

Identification Guidelines

[Table 73.1](#) shows identification guidelines. I don't know what it is about wedges, but they are a pain to find. Let's go through the identification guidelines.

Appearance. As mentioned before, two trendlines outline the price action. Both trendlines slope downward, with the top trendline having a steeper slope than the bottom one. That forces the lines to converge.

Eventually, the two trendlines intersect at the wedge apex. You can see this in the wedge pictured in [Figure 73.2](#). This wedge forms as part of a consolidation pattern in an uptrend. Price bounces from one trendline to the other several times before breaking out of the narrowing price pattern in mid-June.

[Table 73.1](#) Identification Guidelines

Characteristic	Discussion
Appearance	Draw two trendlines, one along the minor highs and one along the minor lows. The trendlines must both slope downward and eventually converge. Price should cross the pattern from top to bottom several times, filling the space with price movement.
Multiple touches	Wedges should have at least five touches, three along one side and two along the other. Be skeptical of wedges with fewer than five touches.
Volume	Volume usually trends downward until the breakout.
Breakout direction, confirmation	Price can break out either upward or downward, but is usually upward. A breakout happens when price closes outside of the trendline boundary.
Duration	A falling wedge has a minimum duration of 3 weeks. Anything less is probably a pennant. Wedges rarely exceed 4 months long.